iFAST CORPORATION LTD

SGX: AIY

Buy Recommendation

Target Price: $9.XX

Current Stock Price as of 27 Nov: S$7.25

iFAST

Report by: Cheah Hoe Teng, Lynette Teng, Sng Zhenhao, Shubham Jariwala

Executive Summary

iFAST Corporation is a global digital banking and wealth management platform headquartered in Singapore, providing a comprehensive range of investment products and services to financial advisory firms, financial institutions, banks, internet companies, multinational companies, as well as retail and high net worth investors in Asia. The Group offers access to over 24,500 investment products including unit trusts, bonds and Singapore Government Securities, stocks and exchange traded funds (ETFs), insurance products, and services including wealth management solutions, banking services, pension administration, research and investment seminars, fintech solutions, and investment administration and transaction services. The company has also expanded to Hong Kong, Malaysia, China and UK.

Business Overview

The main business divisions of the Group include the Wealth Management division, the Digital Bank division, and the ePension division. Within the Wealth Management division, the Business-to-Consumer ("B2C") platform, FSMOne.com (formerly known as Fundsupermart.com), is a multi-product transactional platform that caters to investors who prefer to do their own investments online. The Business-to-Business ("B2B") platforms cater to the specialised needs of more than 720 financial advisory companies, financial institutions, banks and internet companies with over 13,000 wealth advisers.

The iFAST Global Bank is a fully-licensed UK bank that aspires to provide global banking connectivity to customers, corporates and financial institutions. iFAST ePension Services division provides a wide range of pension administration services and white label solutions for pension scheme sponsors, trustees and other institutions, enabling seamless digital access as well as efficient management and processing of pension scheme transactions.

In 2021, iFAST also announced 4 goals for its 5 year plans that it will start with 1) growing its AUA to S$100 billion by 2028, 2) accelerating the growth of its Hong Kong business through the rollouts of the eMPF, 3) expanding digital banking capabilities to position itself as a fintech player and 4) Cultivating a global business model.

Industry Overview & Competitive Positioning

In 2023, iFast's Hong Kong subsidiary ePension Services Limited released the ORSO (Occupational Retirement Schemes Ordinance) ePension services for users to plan for their retirement . This service was in partnership with the Hong Kong government to ensure that all citizens . The contract establishes a monopoly in the industry, significantly reducing competition with local players. The strategic adoption of ePensions It has also been performing spectacularly in 2024.

In Singapore, iFAST faces a stronger competitive environment as it has yet to attain their digital bank license -- which has been in application since 2020, unlike other digital bank competitors – GXS Bank, MariBank, ANEXT Bank, and Green Link Digital Bank. Not having this qualification places iFast at a supposed disadvantage. Yet, iFAST is able to attain a spot in the industry through its competitive edge through while also having these aforementioned handicap. It achieved at 15% YoY net revenue increase from 2023 which is thanks to its recurring fee income, driven by increased interests growth from clients' AUA and cash management solutions.

Investment Summary

Thesis 1: iFAST is strategically positioned to lead the adoption of ePensions in Hong Kong

iFAST's participation in Hong Kong's ePension initiative is a game-changer for the company, offering a government-backed, scalable growth opportunity. As the exclusive provider of digital pension solutions under this initiative, iFAST is poised to secure long-term recurring revenue while strengthening its leadership in the digital pension space. This initiative aligns seamlessly with iFAST's strategy to build a reliable, scalable, and future-ready business model.

Government-backed mandates create a stable foundation for growth

The Occupational Retirement Schemes Ordinance (ORSO) in Hong Kong requires employers to provide pensions for their employees, creating a stable and long-term demand for pension administration services. As the sole partner in the ePension initiative, iFAST has direct access to this growing market, with over 500,000 employees currently enrolled in ORSO schemes. By offering a fully digital platform, iFAST makes pension management faster, cheaper, and more efficient for companies, setting it apart as an industry leader. The government's backing ensures steady demand, giving iFAST a firm foundation to expand its services and solidify its presence in Hong Kong's retirement ecosystem.

Recurring revenue drives stability and scalability

Pensions are designed to generate recurring revenue, and iFAST's ePension initiative fits perfectly into its business model, where 86% of its revenue already comes from recurring sources. Every participant in an ORSO scheme contributes consistent administration fees, creating predictable cash flow for the company. As pension contributions grow, iFAST's Assets Under Administration (AUA) rise, unlocking additional fee-based income. This reliable revenue stream not only stabilizes earnings but also provides the financial flexibility to reinvest in scaling the platform further. The initiative positions iFAST to thrive in a market where recurring income is the key to long-term profitability and growth.

Exclusive contract establishes monopoly-like advantages

As the exclusive provider of ePension services in Hong Kong, iFAST holds a monopoly-like position in this highly regulated space. This exclusivity eliminates competition, allowing iFAST to avoid pricing pressure while retaining pricing power for its services. The barriers to entry created by this exclusive partnership ensure that iFAST remains the dominant player in the market. Combined with the growing demand for retirement solutions driven by Hong Kong's aging population—projected to reach 36% aged 65+ by 2046—this unique market position offers iFAST a secure and scalable growth path.

Thesis 2: Expansion into Digital Banking and wealth management platform via iFAST Global Bank

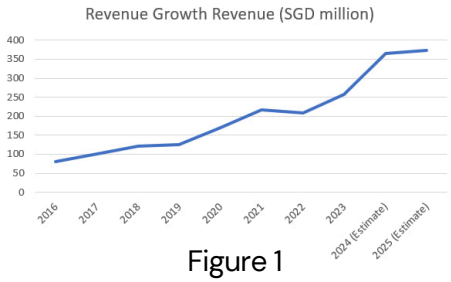

Figure 1

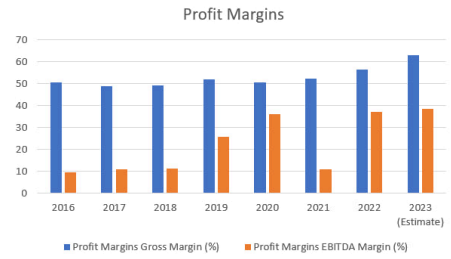

Figure 2

Significant Revenue Growth Potential:

iFAST Global Bank (iGB) has demonstrated a strong revenue growth trajectory since its inception. In FY2023, the bank's contribution to net revenue was significant, with the overall Group's net revenue increasing by 36.7% year-on-year to S$161.66 million. [**Figure 1**] This growth was driven by the successful launch of the Digital Transaction Banking (DTB) and Digital Personal Banking (DPB) services, which have attracted a diverse customer base. The DPB platform, launched in April 2023, has already shown promising growth, with UK residents accounting for approximately 30% of deposits, while the remaining deposits come from residents in over 60 countries. iFAST's overall revenue has shown a consistent upward trend over the years, increasing from SGD 80.60 million in 2016 to SGD 256.54 million in 2023, representing a compound annual growth rate (CAGR) of approximately 25.5%. This strong revenue growth underscores the company's ability to expand its market presence and capitalize on new opportunities.

Diversification of Services and Customer Base:

The expansion into digital banking allows iFAST to diversify its service offerings beyond traditional wealth management. iGB's services include multi-currency deposit accounts, fixed-term deposits, and personal banking services, which cater to both individual and corporate clients. This diversification is crucial in a competitive market, as it enables iFAST to tap into new revenue streams. The bank aims to achieve breakeven by Q4 2024, indicating a strategic focus on sustainable growth and profitability. The bank's conservative balance sheet management, with deposits largely held with the UK Central Bank or invested in investment-grade fixed-income securities, further supports its financial stability.

Improving Profit Margins:

iFAST has also seen improvements in its profit margins over the years. The gross margin has improved from 50.49% in 2016 to an estimated 63.01% in 2023[**Figure 2**], indicating better cost management and operational efficiency. The EBITDA margin has increased from 9.67% in 2016 to an estimated 38.51% in 2023, reflecting the company's focus on enhancing profitability. The Group targets Assets Under Administration (AUA) of S$100 billion by 2028-2030, reflecting its ambition to capture a significant share of the growing digital banking market. The successful integration of iGB into the broader iFAST ecosystem enhances customer experience by providing seamless access to a range of financial services, thereby increasing customer retention and acquisition.

Thesis 3: Strong Competition in both local and global playing fields exacerbates growth

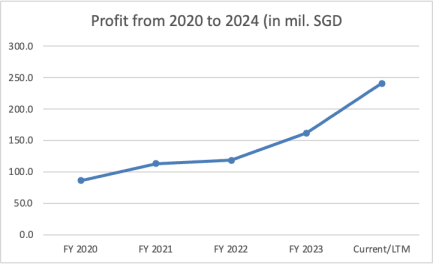

Figure 3

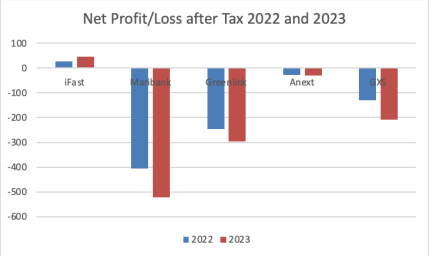

Figure 4

<u>Rejection is not failure:</u>
While iFast was rejected by MAS to be a local digital bank in 2020, iFast has not given up on its goals on expanding its digital banking capabilities. From 2020 to now, iFast has been growing exponentially, from 85.9 in 2020 to 240.6 million in 2024 in gross profits (a **180%** growth)[**Figure 3**]. By comparing the net profits / loss after taxation with its 4 digital bank competitors, iFast manages to outshine them as being the **only** company that has a net profit after tax from 2022 to 2023. [**Figure 4**] As such, while not having the license may be a setback, it does not diminish the capability of iFast, to be able to grow sustainably in such a short time. iFast's ability to amass a profit with its seeming handicap proves that it has the capability to survive in the banking sector in the long run, with how it amassed records high AUA and net positive inflows of their products in Singapore for 2023. It is also able to spread its risks by further diversifying their products, such as product financing, UK stockbroking services, USD Auto-sweep facility, and debit card for convenient spending. Moreover, given iFast's heavy emphasis on ESG sustainability, we foresee that in the pursuit of growth, iFast will continue to do so sustainably. This growth accompanied by iFast's goals of using fintech services to aid the digital banking will allow iFast to further differentiate itself from existing digital banking companies.

<u>Leverage Singapore and Hong Kong as attractive business hubs:</u>
Singapore is at a strategic position as a financial hub as it is a pro-business and cost-competitive while also providing a stable political and regulatory environment which encourages innovation and development. Singapore provides a stable investments, enhanced growth trajectories as well as strong ESG qualifications. These characteristics of Singapore boost investors' confidence in the local market. Meanwhile, as Hong Kong is planning to cut taxes from hedge funds and private equity funds -- both of which iFasts deals with for in their alternative investments under the restricted funds handled by professionally managed fundhouses in iFast Global Prestige for HNWIs or in the IGM (iFast Global Bank) platform in the form of synthetic ETFs. Transforming Hong Kong into a financial hub as well and providing tax cuts for investments prove to be very attractive factors for investors. iFast's strategic positioning leverages on the strenghts of these 2 strategic financial hubs, making it a worthwhile investment.

Thesis 3: Strong Competition in both local and global playing fields exacerbates growth

Figure 5

Market dominance:

The biggest challenge to attaining the digital bank license is to be able to have the minimum paid-up capital of S$1.5 billion in ordered to be considered a digital full bank. Although iFast was unable to make the cut in 2020, it managed to attain 2.1 billion in market capitalisation in 2024 and has remained about 1.5 billion since 2021[**Figure 5**]. However, this can not be said for new entrants to the market which often do not have sufficient capital to compete for the license. And in the next round of license selection, iFast stands a higher chance to get the license due to their qualifications. Other than that, iFast believes in independent research, technical innovation, and transparent pricing. By positively disrupting the market for the benefit of customers, iFast established a reputation among investors. In 2016, they removed unit trust sales fee. When it introduced stockbroking services, it upended the high commission structure of Singapore's stockbroking sector by charging 0.12% for stock and ETF trading. This was reduced to 0.08 percent in 2018 (minimum trade of S$10, etc.). Investors having an AUA of S$100,000 or more may now take advantage of a flat S$10 fee cost on stocks and ETFs listed on the SGX. As such, these qualities set iFast apart from its competitors and makes it able to create a niche it can dominate the market from.

Thesis 4: iFAST's self-reinforcing, scalable recurring revenue base drives high operating leverage and margin growth

iFAST's business model is strategically built on a self-reinforcing and highly scalable recurring revenue base, which positions the company for continued margin expansion and strong operating leverage.

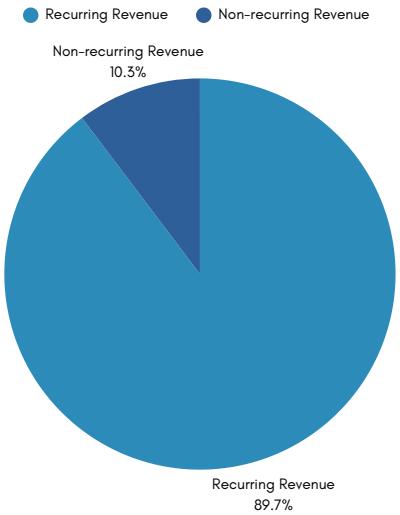

Figure 5

<u>High proportion of recurring revenue provides stability for significant growth investments</u>

Recurring revenue forms the backbone of iFast's business model, constituting 89.7% [**Figure 6**] of net revenue from non-banking operations as of 9M24. Their income, derived from trailer fees, platform fees, wrap fees and portfolio management fees ties directly to its AUA. This predictable cash flow not only stabilises earnings, but enables consistent reinvestment into growth areas without the risk associated with transaction-dependent revenue streams.

<u>Participation in Hong Kong's ePension scheme positions iFAST for essential growth</u>

iFAST's involvement as a technology partner for Hong Kong's ePension platform is not simply a growth opportunity, it is a vital strategic move. The Mandatory Provident Fund (MPF) reforms, which mandate the modernisation of the retirement system to manage the HK$1.11 trillion (S$194.9 billion) in retirement assets, makes iFAST's role indispensable.

Net revenue in the region experienced a 245.6% YoY growth in 9M24 owing to the launch of the e-Pension platform and higher transaction volumes. Nevertheless, the onboarding of schemes is still currently in progress, only 5 out of 24 schemes under the MPF System have been onboarded in ascending order of their assets under management (AUM). We expect that the remaining 19 schemes scheduled to be onboarded in 2025 to further drive AUA growth and contribute directly to top-line and bottom-line over the long-term.

INVESTMENT RISKS

Risk 1: Fee Compression Risk from Established Financial Institutions

iFAST operates in highly competitive markets, including wealth management, fintech and digital banking, where traditional financial institutions and emerging fintech platforms compete aggressively. Competitors may be more established and better capitalised, enabling them to invest heavily in technology and innovation or offer competitive pricing on management and transaction fees. This could constrain iFAST's potential AUA inflow, slowing its growth trajectory.

Mitigation 1: iFAST's unique preposition as a one-stop shop for financial services remains a key advantage in the market. Capitalising on the offer of a comprehensive platform that integrates wealth management, digital banking and investment products, the group's approach reduces reliance on multiple providers. This cements its value to its customers, maintaining client stickiness and consistent revenue. The seamless integration also enables iFAST to cross-sell offerings, boosting revenue per user while leveraging its scalable platform to maintain low incremental costs.

Risk 2: Market volatility and economic slowdown can stifle AUA growth

iFAST's AUA are directly correlated to financial market performance. A slowdown in global or regional economic growth in key markets such as Singapore, Hong Kong and Malaysia poses significant risk. Prolonged downturns or corrections could lead to decline in asset values, reducing transaction volumes and impacting fee-based recurring income. Investor sentiment may turn risk-averse, limiting new investments and potentially leading to net outflows.

Mitigation 2: Just like other wealth management competitors, iFAST is not entirely shielded from market volatility. However, the group positions itself strategically with its diversified product offerings. By including defensive asset classes like bonds and cash accounts, iFAST caters to risk-averse clients during periods of uncertainty, effectively hedging against fluctuations in risker assets. Furthermore, iFAST's expanding role in Hong Kong's pension administration ensures a steady inflow of assets and recurring fee income, given its mandate nature.

Risk 3: Low financial and digital literacy disincentivising elderly from engaging in eMPH

While iFAST's ePension platform in Hong Kong is designed to simplify pension management for the elderly, it's important to acknowledge that many older individuals face challenges with technology. In fact, studies show that around 36.3% of elderly adults in Hong Kong have never used internet services, and 18.2% do not own digital devices. This digital divide could make it difficult for some to access and navigate the platform.

Mitigation 3: iFAST is proactively addressing this gap by offering comprehensive financial literacy programs and dedicated customer support to guide users through the process. These efforts ensure that even those less familiar with technology can fully benefit from the platform, reinforcing iFAST's commitment to inclusivity and solidifying its role as a leader in digital pension services.

ENVIRONMENT, SOCIAL AND GOVERNANCE (ESG)

Environment:

iFAST is redefining sustainability through its digital-first operations, which
significantly reduce its environmental footprint. Over 90% of client transactions are now conducted digitally, aligning with global trends toward greener financial solution. By prioritising paperless solutions such as e-statements and digital transactions, the company minimises waste while demonstrating how fintech innovation can align with environmental
responsibility.

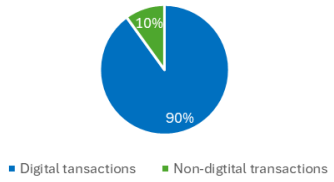

Figure 6 : Client Transactions

Social:

People are at the core of iFAST's growth, both internally and externally.
Diversity within its leadership has improved, with female board representation increasing from 11% in 2021 to 33% in 2022 and 2023. However, there is still room to improve gender balance at senior executive levels, where representation has stagnated at one female executive. Through its innovative ePension platform in Hong Kong, iFAST is empowering individuals with better retirement planning tools, underscoring its commitment to improving financial well-being. While strong on compliance, areas like pay gap reporting and human capital initiatives remain opportunities for iFAST to deepen its social responsibility footprint.

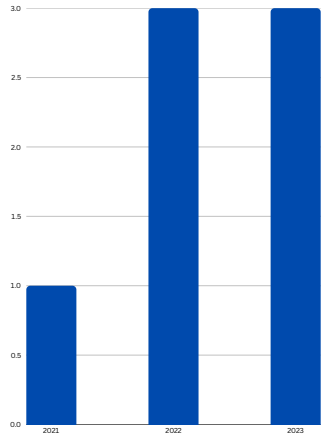

Figure 7 : Female Board Represenation

Governance:

iFAST has built a governance framework that emphasizes transparency and accountability. The Audit Committee has consistently achieved 100% attendance over the past three years, showcasing a steadfast commitment to financial oversight. The board remains balanced, with nine members, including seven non-executive directors, ensuring independence in decision-making.

Figure 8 :Attendance(Audit Committee)

FINANCIAL ANALYSIS

In Millions of SGD except Per Share 12 Months Ending	FY 2014 12/31/2014	FY 2015 12/31/2015	FY 2016 12/31/2016	FY 2017 12/31/2017	FY 2018 12/31/2018	FY 2019 12/31/2019	FY 2020 12/31/2020	FY 2021 12/31/2021	FY 2022 12/31/2022	FY 2023 12/31/2023
Tax Burden										
Net Inc to Comn/Pre-Tax Profit %	96.02	94.89	89.38	88.03	88.37	85.98	83.32	85.52	59.63	117.93
Adjustment Factor										
Normlzd Net Inc/Net Inc to Cmn	0.99	0.97	0.93	1.02	0.99	0.89	1.01	1.03	1.06	1.02
Interest Burden										
Pre-Tax Profit/EBIT %	100.00	100.00	99.97	99.98	98.60	89.73	96.90	98.46	90.02	84.27
Operating Margin										
EBIT/Revenue %	11.38	14.94	7.56	8.65	10.33	9.83	15.42	16.83	5.72	16.92
Asset Turnover										
Revenue/Avg Assets	1.31	0.99	0.86	0.96	0.88	0.80	0.83	0.90	0.61	0.40
Leverage Ratio										
Avg Assets/Avg Equity	1.32	1.20	1.20	1.33	1.65	1.79	2.12	2.06	1.95	2.73
Adjusted Return on Equity	18.63	16.38	6.54	9.85	12.94	9.66	21.90	27.13	3.88	12.17
5 Year Average Adj ROE	—	—	—	—	12.87	11.08	12.18	16.30	15.10	14.95
Payout Ratio	20.35	60.17	134.64	104.09	22.06	88.97	41.21	43.40	218.45	50.07
Sustainable Growth Rate	15.01	6.72	-2.43	-0.39	10.20	1.20	12.81	14.90	-4.33	5.97

Annex

iFAST Corp Ltd (IFAST SP) - Adj Highlights

In Millions of SGD 12 Months Ending	FY 2015 12/31/2015	FY 2016 12/31/2016	FY 2017 12/31/2017	FY 2018 12/31/2018	FY 2019 12/31/2019	FY 2020 12/31/2020	FY 2021 12/31/2021	FY 2022 12/31/2022	FY 2023 12/31/2023	Current/LTM 09/30/2024
Market Capitalization	**352.3**	**222.1**	**235.4**	**286.2**	**279.5**	**817.2**	**2,326.4**	**1,707.3**	**2,421.1**	**2,193.0**
- Cash & Equivalents	61.5	54.6	55.9	85.4	44.0	53.3	59.3	192.8	442.6	842.4
+ Preferred & Other	0.0	0.2	0.0	-0.2	-0.4	-0.7	-1.0	8.2	7.2	-1.8
+ Total Debt	0.0	0.0	0.0	0.0	18.9	19.2	15.2	23.4	59.4	40.3
Enterprise Value	**290.8**	**167.7**	**179.6**	**200.6**	**254.0**	**782.5**	**2,281.2**	**1,546.1**	**2,045.1**	**1,389.1**
Revenue, Adj	**85.3**	**80.6**	**101.2**	**121.2**	**125.4**	**169.9**	**216.2**	**208.9**	**256.5**	**361.0**
Growth %, YoY	*8.9*	*-5.6*	*25.5*	*19.8*	*3.4*	*35.5*	*27.2*	*-3.4*	*22.8*	*62.0*
Gross Profit, Adj	**41.5**	**40.7**	**49.4**	**59.6**	**65.2**	**85.9**	**113.2**	**118.2**	**161.7**	**240.6**
Margin %	*48.7*	*50.5*	*48.9*	*49.2*	*52.0*	*50.5*	*52.4*	*56.6*	*63.0*	*66.6*
EBITDA, Adj	**11.6**	**7.3**	**12.1**	**15.7**	**23.7**	**40.4**	**54.0**	**31.2**	**62.0**	**102.9**
Margin %	*13.6*	*9.1*	*12.0*	*12.9*	*18.9*	*23.8*	*25.0*	*14.9*	*24.2*	*28.5*
Net Income, Adj	**12.1**	**5.1**	**7.9**	**10.8**	**8.5**	**21.3**	**31.6**	**6.8**	**28.8**	**59.2**
Margin %	*14.2*	*6.3*	*7.8*	*8.9*	*6.8*	*12.5*	*14.6*	*3.3*	*11.2*	*16.4*
EPS, Adj	**0.04**	**0.02**	**0.03**	**0.04**	**0.03**	**0.08**	**0.11**	**0.02**	**0.09**	**0.19**
Growth %, YoY	*11.30*	*-56.62*	*54.31*	*35.31*	*-22.25*	*143.17*	*46.64*	*-79.47*	*318.16*	*269.05*
Cash from Operations	**14.2**	**5.7**	**13.3**	**17.7**	**19.4**	**41.6**	**46.6**	**47.4**	**273.5**	**597.2**
Capital Expenditures	**-1.7**	**-1.3**	**-1.5**	**-2.6**	**-2.4**	**-2.5**	**-5.9**	**-2.7**	**-6.6**	**-9.0**
Free Cash Flow	**12.6**	**4.4**	**11.8**	**15.1**	**17.0**	**39.1**	**40.7**	**44.7**	**266.9**	**588.2**

Source: Bloomberg *Right click to show data transparency (not supported for all values)*

Calculations for Net Revenue and Profits after tax were used from the above chart

MariBank Singapore Private Limited. (2023). Audited accounts for the financial year ended 31 December 2023. https://banking-aka-storage.maribank.com.sg/maribank/sg/website-content/MariBank_Financial_Statements_FY2023.pdf

How Singapore fintech firm iFast is shaking up the investment industry. (2021, January 18). The Straits Times. https://www.straitstimes.com/business/companies-markets/how-singapore-fintech-firm-ifast-is-shaking-up-the-investment-industry

GXS Bank Pte. Ltd. and its subsidiary. (2023). Annual Report for the year ended 31 December 2023. https://cdn.prod.website-files.com/6361d54daaadd91c364a9c51/662a3bb25f67ca5db0fc5c0b_Audited%20Financial%20Statements%202023-%20English.pdf

Green Link Digital Bank Pte. Ltd. (2023). Green Link Digital Bank Pte. Ltd. Financial Statements. https://www.glbank.com/data/tosend/resource/upload/STATEMENT%20OF%20FINANCIAL%20POSITION.pdf

Fintech News Singapore. (2024, July 24). ANEXT Bank's Losses Up Nearly 10%, Revenue Surges Almost 700% in 2023. Fintech Singapore. https://fintechnews.sg/99343/digital-banking-news-singapore/anext-banks-losses-up-nearly-10-revenue-surges-almost-700-in-2023/

iFAST Corporation | Financial Results. (n.d.). https://www.ifastcorp.com/ifastcorp/investor-relations/financial-results.tpl

MONETARY AUTHORITY OF SINGAPORE. (n.d.). ELIGIBILITY CRITERIA AND REQUIREMENTS FOR DIGITAL BANKS. https://www.mas.gov.sg/-/media/Digital-Bank-Licence/Eligibility-Criteria-and-Requirements-for-Digital-Banks.pdf

iGM | iFAST Global Markets. (n.d.). https://www.ifastgm.com.sg/igm/igm-investor-academy/an-introduction-to-various-investment/alternative-investment

CLIENT BROCHURE - iFast Financial. (n.d.). https://www.google.com/url?sa=t&source=web&rct=j&opi=89978449&url=https://secure.ifastnetwork.com/ifastverve/download/attachments/ifastCentralBrochure.pdf&ved=2ahUKEwiWv8q0kICKAxUpV2wGHVzqN5QQFnoECBkQAQ&usg=AOvVaw2sFrqhnBW4knULcYAQw8KX